

Savings without a spending goal gives you options and flexibility, the ability to wait and the opportunity to pounce. It gives you time to think. It lets you change course on your own terms.

Every bit of savings is like taking a point in the future that would have been owned by someone else and giving it back to yourself.

That flexibility and control over your time is an unseen return on wealth.

What is the return on cash in the bank that gives you the option of changing careers, or retiring early, or freedom from worry?

I'd say it's incalculable.

It's incalculable in two ways. It's so large and important that we can't put a price on it. But it's also literally incalculable—we can't measure it like we can measure interest rates—and what we can't measure we tend to overlook.

When you don't have control over your time, you're forced to accept whatever bad luck is thrown your way. But if you have flexibility you have the time to wait for no-brainer opportunities to fall in your lap. This is a hidden return on your savings.

Savings in the bank that earn 0% interest might actually generate an extraordinary return if they give you the flexibility to take a job with a lower salary but more purpose, or wait for investment opportunities that come when those without flexibility turn desperate.

And that hidden return is becoming more important.

The world used to be hyper-local. Just over 100 years ago 75% of Americans had neither telephones nor regular mail service, according to historian Robert Gordon. That made competition hyper-local. A worker with just average intelligence might be the best in their town, and they got treated like the best because they didn't have to compete with the smarter worker in another town.

That's now changed.